The government committed in 1991 to itself to replace the draconian FERA with a highly liberal FEMA which cause into effected in the year 2000–01 with a sun-set clause of two years.[33]

## 6. Location of Industries

Related provisions were simplified by the policy which was highly cumbersome and a time-consuming process. Now, the industries were classified into 'polluting' and 'non-polluting' categories and a highly simple provision deciding their location was announced:

(i) Non-polluting industries might be set up anywhere.

(ii) Polluting industries to be set up at least 25 kms away from the million cities.

## 7. Compulsion of Phased -production Abolished

With the compulsion of phased-production abolished, now the private firms could go for producing as many goods and models simultaneously[34]. Now the capacity and capital of industries could be utilised to their optimum level.

## 8. Compulsion to Convert Loans into Shares Abolished

The policy of nationalisation started by the Government of India in the late 1960s was based on the sound logic of ***greater public benefit*** and had its origin in the idea of ***welfare state***—it was criticised by the victims and the experts alike. In the early 1970s, the GoI came with a new idea of it. The major banks of the country were now fully nationalised (14 in number by that time) which had to mobilise resources for the purpose of planned development of India. The private companies who had borrowed capital from these banks (when the banks were privately owned) now wanted their loans to be paid back. The government came with a novel provision for the companies who were unable to repay their loans (most of them were like it)—they could opt to convert their loan amounts into equity shares and hand them over to the banks. The private companies which opted this route (this was a compulsory option) ultimately became a government-owned